# OFFERING MEMORANDUM

Quarry Inn & Suites | Charlotte, NC

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| **Property** | Quarry Inn & Suites |
| **Location** | 998 Harbor Boulevard, Charlotte, NC 69742 |
| **Property Type** | Hotel |
| **Size** | 110 guest rooms |
| **Year Built** | 1973 |
| **Offering** | Unpriced - Offers Due July 1, 2021 |

## Business Plan Progress

The business plan contemplates a hold period of 3 years with disposition upon achievement of target returns. Key risks include interest rate exposure, tenant rollover, construction cost overruns and local supply additions. Revenue is driven by transient corporate demand, group business and weekend leisure travel. A product improvement plan for guest rooms and corridors is scheduled under the brand standards. The investment thesis is based on stabilizing occupancy, completing the capital plan and capturing rent growth to market. Distributions to investors for the quarter were paid at an annualized rate of 4.3% on contributed capital.

The business plan contemplates a hold period of 5 years with disposition upon achievement of target returns. Key risks include interest rate exposure, tenant rollover, construction cost overruns and local supply additions. Leasing velocity improved during the period and management expects further upward pressure on in-place rents. Distributions to investors for the quarter were paid at an annualized rate of 3.4% on contributed capital.

## Market Overview

Median household income within a 3-mile radius of the property is approximately $335,000 and has grown 4.9% annually. Market vacancy for comparable Hotel product stands at 5.9%, down from 6.8% two years ago. Investor demand for Hotel assets in Charlotte remains strong with recent trades at capitalization rates between 5.64% and 5.64%. Quarry Inn & Suites is located in Charlotte, NC, a market that has recorded 10.6% population growth over the last five years. The hotel operates under a franchise agreement with Sunrise Express, with a complimentary breakfast, indoor pool and 36 meeting rooms. A product improvement plan for guest rooms and corridors is scheduled under the brand standards.

Employment growth is led by healthcare, logistics, education and professional services sectors. Median household income within a 4-mile radius of the property is approximately $257,000 and has grown 3.9% annually. Revenue is driven by transient corporate demand, group business and weekend leisure travel. The hotel operates under a franchise agreement with Sunrise Express, with a complimentary breakfast, indoor pool and 46 meeting rooms.

## Investor Distributions

A product improvement plan for guest rooms and corridors is scheduled under the brand standards. Revenue is driven by transient corporate demand, group business and weekend leisure travel. Distributions to investors for the quarter were paid at an annualized rate of 5.5% on contributed capital. Trailing twelve-month occupancy was 92.8% with an average daily rate of $106 and RevPAR indexing above the competitive set.

The hotel operates under a franchise agreement with Sunrise Express, with a complimentary breakfast, indoor pool and 25 meeting rooms. Key risks include interest rate exposure, tenant rollover, construction cost overruns and local supply additions. Trailing twelve-month occupancy was 94.9% with an average daily rate of $106 and RevPAR indexing above the competitive set. Revenue is driven by transient corporate demand, group business and weekend leisure travel. The business plan contemplates a hold period of 11 years with disposition upon achievement of target returns.

## Submarket Analysis

Trailing twelve-month occupancy was 94.1% with an average daily rate of $106 and RevPAR indexing above the competitive set. Investor demand for Hotel assets in Charlotte remains strong with recent trades at capitalization rates between 6.67% and 6.67%. Revenue is driven by transient corporate demand, group business and weekend leisure travel. Rent growth in the submarket has averaged 3.9% annually over the past 3 years.

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## Investment Overview

Revenue is driven by transient corporate demand, group business and weekend leisure travel. Distributions to investors for the quarter were paid at an annualized rate of 7.7% on contributed capital. Projected levered IRR is 4.1% with an equity multiple of 1.15x over the hold period. The investment thesis is based on stabilizing occupancy, completing the capital plan and capturing rent growth to market.

The business plan contemplates a hold period of 6 years with disposition upon achievement of target returns. Revenue is driven by transient corporate demand, group business and weekend leisure travel. The investment thesis is based on stabilizing occupancy, completing the capital plan and capturing rent growth to market. Key risks include interest rate exposure, tenant rollover, construction cost overruns and local supply additions. Leasing velocity improved during the period and management expects further upward pressure on in-place rents.

## Supply and Demand

Rent growth in the submarket has averaged 5.8% annually over the past 4 years. Revenue is driven by transient corporate demand, group business and weekend leisure travel. Employment growth is led by healthcare, logistics, education and professional services sectors. The hotel operates under a franchise agreement with Sunrise Express, with a complimentary breakfast, indoor pool and 6 meeting rooms. The Charlotte Hotel market has experienced absorption of 3200 thousand square feet or equivalent units over the trailing twelve months, outpacing new deliveries. Median household income within a 3-mile radius of the property is approximately $260,000 and has grown 10.4% annually.

New construction starts have decelerated due to higher financing costs and tighter lending standards, which supports the existing supply. Employment growth is led by healthcare, logistics, education and professional services sectors. Investor demand for Hotel assets in Charlotte remains strong with recent trades at capitalization rates between 5.39% and 5.39%. Rent growth in the submarket has averaged 6.7% annually over the past 10 years. Trailing twelve-month occupancy was 92.3% with an average daily rate of $106 and RevPAR indexing above the competitive set. A product improvement plan for guest rooms and corridors is scheduled under the brand standards.

## Risk Considerations

A product improvement plan for guest rooms and corridors is scheduled under the brand standards. The hotel operates under a franchise agreement with Sunrise Express, with a complimentary breakfast, indoor pool and 22 meeting rooms. Projected levered IRR is 5.3% with an equity multiple of 1.21x over the hold period. The business plan contemplates a hold period of 9 years with disposition upon achievement of target returns. The investment thesis is based on stabilizing occupancy, completing the capital plan and capturing rent growth to market.

Revenue is driven by transient corporate demand, group business and weekend leisure travel. A product improvement plan for guest rooms and corridors is scheduled under the brand standards. The hotel operates under a franchise agreement with Sunrise Express, with a complimentary breakfast, indoor pool and 32 meeting rooms. The investment thesis is based on stabilizing occupancy, completing the capital plan and capturing rent growth to market. The business plan contemplates a hold period of 10 years with disposition upon achievement of target returns.

## Submarket Analysis

Quarry Inn & Suites is located in Charlotte, NC, a market that has recorded 2.7% population growth over the last five years. Revenue is driven by transient corporate demand, group business and weekend leisure travel. A product improvement plan for guest rooms and corridors is scheduled under the brand standards. Investor demand for Hotel assets in Charlotte remains strong with recent trades at capitalization rates between 6.28% and 6.28%. The hotel operates under a franchise agreement with Sunrise Express, with a complimentary breakfast, indoor pool and 38 meeting rooms.

Trailing twelve-month occupancy was 93.0% with an average daily rate of $106 and RevPAR indexing above the competitive set. Market vacancy for comparable Hotel product stands at 12.8%, down from 6.9% two years ago. Revenue is driven by transient corporate demand, group business and weekend leisure travel. The hotel operates under a franchise agreement with Sunrise Express, with a complimentary breakfast, indoor pool and 26 meeting rooms.

## Risk Considerations

The hotel operates under a franchise agreement with Sunrise Express, with a complimentary breakfast, indoor pool and 18 meeting rooms. Distributions to investors for the quarter were paid at an annualized rate of 3.5% on contributed capital. Projected levered IRR is 7.4% with an equity multiple of 1.36x over the hold period. The business plan contemplates a hold period of 10 years with disposition upon achievement of target returns. Trailing twelve-month occupancy was 95.7% with an average daily rate of $106 and RevPAR indexing above the competitive set. Leasing velocity improved during the period and management expects further upward pressure on in-place rents.

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## Sales Comparison Data

| Comparable | Location | Sale Date | Size | Price | $/Unit or SF | Cap Rate | Yr Built |
|---|---|---|---|---|---|---|---|
| Orchard Inn & Suites | San Diego, CA | 05/16/2023 | 137 | $13,604,873 | $123,681 | 7.97% | 2008 |
| Meridian Hotel | Charlotte, NC | 09/17/2024 | 66 | $13,443,388 | $122,213 | 7.14% | 1980 |
| Quarry Hotel | Allentown, PA | 09/04/2023 | 143 | $35,079,859 | $318,908 | 7.75% | 2015 |
| Wexford Lodge | Birmingham, AL | 07/04/2026 | 151 | $24,036,822 | $218,517 | 7.87% | 1975 |
| Bluestone Lodge | Cleveland, OH | 10/27/2024 | 60 | $18,821,131 | $171,101 | 7.42% | 1972 |
| Everett Lodge | Aurora, CO | 02/23/2022 | 96 | $36,208,820 | $329,171 | 7.54% | 1994 |
| Everett Inn & Suites | Nashville, TN | 02/08/2024 | 121 | $18,691,037 | $169,919 | 7.39% | 1996 |
| Tidewater Inn & Suites | Savannah, GA | 01/09/2025 | 145 | $21,091,836 | $191,744 | 5.12% | 1973 |
| Granite Lodge | Columbus, OH | 01/10/2024 | 98 | $21,967,637 | $199,706 | 6.21% | 1967 |
| Lockwood Suites | Boise, ID | 01/16/2025 | 111 | $29,793,706 | $270,852 | 6.55% | 2019 |
| Wexford Hotel | Seattle, WA | 03/08/2024 | 158 | $15,916,299 | $144,694 | 6.07% | 1986 |
| Ridgeline Lodge | Madison, WI | 11/17/2024 | 150 | $16,290,590 | $148,096 | 6.42% | 1969 |
| Indigo Hotel | San Antonio, TX | 07/30/2026 | 107 | $28,430,776 | $258,462 | 5.84% | 1987 |
| Vista Inn & Suites | Buffalo, NY | 05/01/2025 | 109 | $24,436,063 | $222,146 | 7.78% | 1998 |
| Quincy Lodge | Raleigh, NC | 11/15/2022 | 107 | $13,675,834 | $124,326 | 7.43% | 1993 |
| Osprey Suites | Norfolk, VA | 07/20/2022 | 131 | $19,560,264 | $177,821 | 6.61% | 2021 |
| Ironwood Hotel | Phoenix, AZ | 10/26/2023 | 105 | $16,710,144 | $151,910 | 6.84% | 1982 |
| Ridgeline Suites | Pittsburgh, PA | 08/21/2024 | 66 | $29,411,333 | $267,376 | 6.76% | 2009 |
| Northgate Hotel | Louisville, KY | 10/05/2025 | 120 | $25,303,269 | $230,030 | 5.10% | 1974 |
| Nautilus Hotel | Charlotte, NC | 01/08/2022 | 126 | $31,663,361 | $287,849 | 6.69% | 1990 |
| Hollis Lodge | Hartford, CT | 01/22/2023 | 120 | $16,138,337 | $146,712 | 6.31% | 1973 |
| Lockwood Suites | Cincinnati, OH | 07/09/2025 | 80 | $18,978,026 | $172,528 | 5.89% | 1969 |
| Lantern Lodge | Greenville, SC | 09/28/2023 | 135 | $18,745,808 | $170,416 | 7.25% | 1993 |
| Ashford Hotel | Austin, TX | 05/25/2023 | 67 | $32,587,952 | $296,254 | 6.15% | 1994 |
| Kestrel Lodge | St. Louis, MO | 09/30/2023 | 80 | $32,769,405 | $297,904 | 7.33% | 2005 |
| Prairie Suites | Sacramento, CA | 10/23/2024 | 84 | $28,509,282 | $259,175 | 7.49% | 1988 |
| Windmill Inn & Suites | San Diego, CA | 11/29/2022 | 134 | $31,797,460 | $289,068 | 5.12% | 2021 |
| Westgate Lodge | Orlando, FL | 01/05/2026 | 91 | $31,730,381 | $288,458 | 6.05% | 2008 |
| Lockwood Lodge | Minneapolis, MN | 05/24/2024 | 141 | $15,267,462 | $138,795 | 7.49% | 2019 |
| Newport Inn & Suites | Atlanta, GA | 05/17/2022 | 122 | $31,699,290 | $288,175 | 5.40% | 1967 |
| Canyon Hotel | Houston, TX | 02/23/2022 | 128 | $16,989,796 | $154,453 | 5.48% | 1994 |
| Magnolia Inn & Suites | Columbus, OH | 04/22/2025 | 73 | $18,558,535 | $168,714 | 7.26% | 2020 |
| Willow Inn & Suites | San Diego, CA | 05/31/2023 | 60 | $22,339,242 | $203,084 | 6.14% | 1976 |
| Kingsley Suites | Oklahoma City, OK | 05/14/2023 | 104 | $21,031,708 | $191,197 | 7.83% | 2001 |
| Whitaker Inn & Suites | Philadelphia, PA | 08/27/2024 | 95 | $22,712,898 | $206,481 | 6.09% | 1980 |
| Dover Lodge | Phoenix, AZ | 06/26/2026 | 138 | $17,281,124 | $157,101 | 7.15% | 2004 |
| Birchwood Inn & Suites | Milwaukee, WI | 02/02/2024 | 122 | $24,021,691 | $218,379 | 7.35% | 1993 |
| Oakmont Suites | Grand Rapids, MI | 08/24/2023 | 103 | $28,329,256 | $257,539 | 7.67% | 2018 |
| Alder Lodge | Albany, NY | 12/30/2023 | 131 | $10,914,314 | $99,221 | 7.26% | 2014 |
| Timberline Lodge | Philadelphia, PA | 06/28/2022 | 96 | $29,922,161 | $272,020 | 7.27% | 1980 |

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## Construction Details

Quarry Inn & Suites was originally constructed in 1973 and consists of 110 guest rooms in a building of 48 stories. The structure is of wood-frame, masonry and steel-frame construction on a slab-on-grade foundation. The hotel operates under a franchise agreement with Sunrise Express, with a complimentary breakfast, indoor pool and 34 meeting rooms. Mechanical systems include rooftop package units and central plant equipment of varying age.

The roof is a 10-year membrane system with an estimated remaining useful life of 10 years. Common area interiors have been refreshed within the last 11 years and are in average to good condition. A product improvement plan for guest rooms and corridors is scheduled under the brand standards. Life-safety systems include a fully sprinklered building, addressable fire alarm panel and emergency lighting. Mechanical systems include rooftop package units and central plant equipment of varying age. The structure is of wood-frame, masonry and steel-frame construction on a slab-on-grade foundation.

## Operating Performance

The hotel operates under a franchise agreement with Sunrise Express, with a complimentary breakfast, indoor pool and 15 meeting rooms. Net operating income is projected to grow at a compound annual rate of 4.4% over the hold period. A reserve for replacements of $250 per unit has been underwritten in the cash flow below net operating income. Effective gross income for the trailing period was $331,000, representing a 7.6% increase over the prior year. Trailing twelve-month occupancy was 93.2% with an average daily rate of $106 and RevPAR indexing above the competitive set.

Net operating income is projected to grow at a compound annual rate of 7.9% over the hold period. A reserve for replacements of $250 per unit has been underwritten in the cash flow below net operating income. The going-in capitalization rate of 6.53% reflects the in-place income and the stabilized occupancy assumption. Management fees are calculated at 5.3% of collected revenue and are included in operating expenses.

## Building Systems

Revenue is driven by transient corporate demand, group business and weekend leisure travel. The hotel operates under a franchise agreement with Sunrise Express, with a complimentary breakfast, indoor pool and 46 meeting rooms. Common area interiors have been refreshed within the last 6 years and are in average to good condition. The roof is a 45-year membrane system with an estimated remaining useful life of 8 years. Exterior finishes comprise brick veneer, fiber-cement siding and aluminum storefront glazing in good condition. The structure is of wood-frame, masonry and steel-frame construction on a slab-on-grade foundation.

A product improvement plan for guest rooms and corridors is scheduled under the brand standards. Life-safety systems include a fully sprinklered building, addressable fire alarm panel and emergency lighting. The roof is a 11-year membrane system with an estimated remaining useful life of 11 years. The structure is of wood-frame, masonry and steel-frame construction on a slab-on-grade foundation. Revenue is driven by transient corporate demand, group business and weekend leisure travel. Trailing twelve-month occupancy was 90.9% with an average daily rate of $106 and RevPAR indexing above the competitive set.

## Valuation Discussion

A reserve for replacements of $250 per unit has been underwritten in the cash flow below net operating income. A product improvement plan for guest rooms and corridors is scheduled under the brand standards. The hotel operates under a franchise agreement with Sunrise Express, with a complimentary breakfast, indoor pool and 7 meeting rooms. Trailing twelve-month occupancy was 89.0% with an average daily rate of $106 and RevPAR indexing above the competitive set. Debt service coverage ratio was 6.71x on a trailing basis against a covenant minimum of 1.20x. Net operating income is projected to grow at a compound annual rate of 4.2% over the hold period.

The hotel operates under a franchise agreement with Sunrise Express, with a complimentary breakfast, indoor pool and 22 meeting rooms. Operating expenses totaled $188,000 or approximately 13.90 per square foot, with real estate taxes representing the largest line item. Net operating income is projected to grow at a compound annual rate of 4.2% over the hold period. A reserve for replacements of $250 per unit has been underwritten in the cash flow below net operating income. Debt service coverage ratio was 5.55x on a trailing basis against a covenant minimum of 1.20x. Effective gross income for the trailing period was $76,000, representing a 5.3% increase over the prior year.

## Building Systems

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## Rent Comparables

| Comparable | Distance | Yr Built | Space Type | Asking Rent | Occupancy | Concessions |
|---|---|---|---|---|---|---|
| Harbor Inn & Suites | 4.6 mi | 2007 | Bay | $120.94 | 96.6% | None |
| Marlow Hotel | 3.4 mi | 1973 | 2BR | $91.55 | 88.6% | None |
| Dover Suites | 0.3 mi | 2003 | 2BR | $99.35 | 92.9% | None |
| Valley Inn & Suites | 3.4 mi | 1982 | 1BR | $104.94 | 89.8% | None |
| Timberline Hotel | 4.4 mi | 2018 | Suite | $90.18 | 96.4% | None |
| Laurel Hotel | 1.2 mi | 1984 | 1BR | $124.49 | 97.4% | None |
| Indigo Suites | 1.7 mi | 2023 | Bay | $114.72 | 86.1% | None |
| Raven Lodge | 1.6 mi | 1974 | 1BR | $103.70 | 92.2% | 1 mo. free |
| Thornton Inn & Suites | 2.8 mi | 1988 | Bay | $120.24 | 86.5% | 1 mo. free |
| Tidewater Inn & Suites | 2.5 mi | 2004 | 2BR | $112.20 | 92.1% | $500 |
| Cedar Hotel | 3.9 mi | 1983 | Suite | $117.77 | 94.7% | 1 mo. free |
| Thornton Hotel | 4.7 mi | 1972 | Suite | $98.10 | 92.8% | None |
| Kestrel Hotel | 2.0 mi | 1993 | Suite | $116.39 | 91.7% | None |
| Granite Suites | 2.9 mi | 1975 | Suite | $110.09 | 93.3% | None |
| Onyx Lodge | 0.6 mi | 2012 | Unit | $106.08 | 91.8% | 1 mo. free |
| Riverbend Inn & Suites | 4.2 mi | 2014 | Studio | $102.68 | 94.2% | $500 |
| Highland Lodge | 3.5 mi | 2017 | Studio | $95.97 | 97.9% | $500 |
| Redwood Lodge | 3.8 mi | 2006 | Studio | $96.44 | 93.4% | $500 |
| Vista Suites | 4.3 mi | 1993 | Unit | $95.21 | 91.6% | $500 |
| Pinecrest Lodge | 1.6 mi | 1979 | Unit | $110.50 | 96.1% | $500 |
| Newport Suites | 1.9 mi | 1999 | 2BR | $99.03 | 88.5% | $500 |
| Orchard Lodge | 3.7 mi | 2023 | Unit | $117.31 | 87.5% | None |
| Zephyr Lodge | 1.4 mi | 2017 | Bay | $90.68 | 95.3% | 1 mo. free |
| Zephyr Inn & Suites | 4.7 mi | 1980 | 1BR | $97.68 | 93.8% | $500 |
| Ridgeline Suites | 0.7 mi | 2001 | Suite | $93.21 | 88.3% | None |
| Aspen Hotel | 2.4 mi | 2013 | Inline | $102.66 | 93.2% | 1 mo. free |
| Yarrow Inn & Suites | 3.4 mi | 2002 | Unit | $91.19 | 87.1% | 1 mo. free |
| Prairie Suites | 3.3 mi | 1989 | 1BR | $107.97 | 93.4% | None |
| Wexford Inn & Suites | 2.3 mi | 1971 | Inline | $110.68 | 87.7% | None |
| Ridgeline Hotel | 4.0 mi | 1975 | Bay | $90.77 | 91.0% | 1 mo. free |
| Union Hotel | 1.0 mi | 2003 | 2BR | $108.75 | 89.7% | 1 mo. free |
| Pinecrest Inn & Suites | 3.2 mi | 1980 | 2BR | $109.66 | 95.9% | 1 mo. free |
| Ridgeline Hotel | 2.5 mi | 2003 | Unit | $126.23 | 89.5% | 1 mo. free |
| Cedar Lodge | 1.5 mi | 1971 | 2BR | $117.29 | 88.6% | None |
| Windmill Hotel | 4.1 mi | 1976 | Inline | $95.02 | 95.1% | None |
| Sable Suites | 0.6 mi | 1981 | 2BR | $106.93 | 94.7% | $500 |
| Maple Suites | 2.4 mi | 1979 | Studio | $112.30 | 88.7% | 1 mo. free |
| Heritage Inn & Suites | 0.7 mi | 1990 | 2BR | $105.63 | 93.7% | 1 mo. free |
| Meridian Inn & Suites | 3.4 mi | 1971 | Suite | $111.31 | 93.5% | 1 mo. free |
| Fairmont Inn & Suites | 1.0 mi | 2004 | Suite | $119.42 | 90.7% | None |
| Quincy Lodge | 1.5 mi | 2001 | Unit | $94.91 | 97.0% | 1 mo. free |

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## Property Operations

On-site staffing consists of a property manager, assistant manager, maintenance supervisor and 35 additional team members. Collections for the period were 92.4% of billed charges, with bad debt of 7.8% of gross potential income. Service requests are tracked through a work-order system with an average completion time of 30 hours. Preventive maintenance schedules for HVAC, elevators and life-safety systems were completed on time during the period. Marketing efforts include digital listings, signage, broker outreach and a resident referral program. The hotel operates under a franchise agreement with Sunrise Express, with a complimentary breakfast, indoor pool and 29 meeting rooms.

On-site staffing consists of a property manager, assistant manager, maintenance supervisor and 31 additional team members. Marketing efforts include digital listings, signage, broker outreach and a resident referral program. The hotel operates under a franchise agreement with Sunrise Express, with a complimentary breakfast, indoor pool and 31 meeting rooms. Service requests are tracked through a work-order system with an average completion time of 4 hours. Revenue is driven by transient corporate demand, group business and weekend leisure travel. Preventive maintenance schedules for HVAC, elevators and life-safety systems were completed on time during the period.

## Market Overview

Median household income within a 3-mile radius of the property is approximately $258,000 and has grown 13.6% annually. The Charlotte Hotel market has experienced absorption of 2200 thousand square feet or equivalent units over the trailing twelve months, outpacing new deliveries. Employment growth is led by healthcare, logistics, education and professional services sectors. A product improvement plan for guest rooms and corridors is scheduled under the brand standards.

The Charlotte Hotel market has experienced absorption of 4100 thousand square feet or equivalent units over the trailing twelve months, outpacing new deliveries. Median household income within a 1-mile radius of the property is approximately $275,000 and has grown 8.1% annually. New construction starts have decelerated due to higher financing costs and tighter lending standards, which supports the existing supply. The hotel operates under a franchise agreement with Sunrise Express, with a complimentary breakfast, indoor pool and 30 meeting rooms. Market vacancy for comparable Hotel product stands at 11.0%, down from 6.7% two years ago. A product improvement plan for guest rooms and corridors is scheduled under the brand standards.

## Property Operations

On-site staffing consists of a property manager, assistant manager, maintenance supervisor and 4 additional team members. Trailing twelve-month occupancy was 88.5% with an average daily rate of $106 and RevPAR indexing above the competitive set. The manager completes a monthly walk of the property and submits a variance report to the owner by the 9th business day. Marketing efforts include digital listings, signage, broker outreach and a resident referral program. Collections for the period were 91.5% of billed charges, with bad debt of 5.0% of gross potential income. Service requests are tracked through a work-order system with an average completion time of 48 hours.

On-site staffing consists of a property manager, assistant manager, maintenance supervisor and 22 additional team members. The hotel operates under a franchise agreement with Sunrise Express, with a complimentary breakfast, indoor pool and 33 meeting rooms. Revenue is driven by transient corporate demand, group business and weekend leisure travel. Trailing twelve-month occupancy was 89.1% with an average daily rate of $106 and RevPAR indexing above the competitive set. Marketing efforts include digital listings, signage, broker outreach and a resident referral program. Service requests are tracked through a work-order system with an average completion time of 14 hours.

## Market Overview

The Charlotte Hotel market has experienced absorption of 1300 thousand square feet or equivalent units over the trailing twelve months, outpacing new deliveries. A product improvement plan for guest rooms and corridors is scheduled under the brand standards. Revenue is driven by transient corporate demand, group business and weekend leisure travel. Quarry Inn & Suites is located in Charlotte, NC, a market that has recorded 9.6% population growth over the last five years. Trailing twelve-month occupancy was 94.3% with an average daily rate of $106 and RevPAR indexing above the competitive set.

Quarry Inn & Suites is located in Charlotte, NC, a market that has recorded 2.8% population growth over the last five years. New construction starts have decelerated due to higher financing costs and tighter lending standards, which supports the existing supply. Market vacancy for comparable Hotel product stands at 4.6%, down from 6.3% two years ago. Employment growth is led by healthcare, logistics, education and professional services sectors. Rent growth in the submarket has averaged 4.0% annually over the past 7 years.

## Management Commentary

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# Disclaimer and Confidentiality

All notices required or permitted hereunder shall be in writing and delivered by certified mail, nationally recognized overnight courier or electronic mail with confirmation of receipt. Time is of the essence with respect to each and every provision of this instrument. No waiver of any provision shall be effective unless in writing and signed by the party against whom such waiver is sought. The prevailing party in any action to enforce the terms hereof shall be entitled to recover reasonable attorneys' fees and costs. This document relates solely to Quarry Inn & Suites and has been prepared for the use of the recipient only; it may not be reproduced or distributed.

If any term is held invalid or unenforceable, the remaining terms shall continue in full force and effect. No waiver of any provision shall be effective unless in writing and signed by the party against whom such waiver is sought. The prevailing party in any action to enforce the terms hereof shall be entitled to recover reasonable attorneys' fees and costs. Each party represents that it has full power and authority to enter into and perform its obligations hereunder. This document relates solely to Quarry Inn & Suites and has been prepared for the use of the recipient only; it may not be reproduced or distributed.

No waiver of any provision shall be effective unless in writing and signed by the party against whom such waiver is sought. The prevailing party in any action to enforce the terms hereof shall be entitled to recover reasonable attorneys' fees and costs. Time is of the essence with respect to each and every provision of this instrument. If any term is held invalid or unenforceable, the remaining terms shall continue in full force and effect. This document relates solely to Quarry Inn & Suites and has been prepared for the use of the recipient only; it may not be reproduced or distributed.

This instrument shall be binding upon and inure to the benefit of the parties and their respective successors and permitted assigns. No waiver of any provision shall be effective unless in writing and signed by the party against whom such waiver is sought. Notwithstanding anything to the contrary contained herein, the parties agree that the foregoing shall be construed in accordance with the laws of the State of NC. Time is of the essence with respect to each and every provision of this instrument. This document relates solely to Quarry Inn & Suites and has been prepared for the use of the recipient only; it may not be reproduced or distributed.

Time is of the essence with respect to each and every provision of this instrument. This instrument shall be binding upon and inure to the benefit of the parties and their respective successors and permitted assigns. Notwithstanding anything to the contrary contained herein, the parties agree that the foregoing shall be construed in accordance with the laws of the State of NC. No waiver of any provision shall be effective unless in writing and signed by the party against whom such waiver is sought. This document relates solely to Quarry Inn & Suites and has been prepared for the use of the recipient only; it may not be reproduced or distributed.

If any term is held invalid or unenforceable, the remaining terms shall continue in full force and effect. No waiver of any provision shall be effective unless in writing and signed by the party against whom such waiver is sought. All notices required or permitted hereunder shall be in writing and delivered by certified mail, nationally recognized overnight courier or electronic mail with confirmation of receipt. The prevailing party in any action to enforce the terms hereof shall be entitled to recover reasonable attorneys' fees and costs. This document relates solely to Quarry Inn & Suites and has been prepared for the use of the recipient only; it may not be reproduced or distributed.

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